CAPITAL IMPROVEMENT PLAN

Northgate Station District | Buffalo, NY

Property	Northgate Station District
Plan Date	March 26, 2025
Prepared For	Vireo Income Properties
Total Plan Budget	$58,000

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Unit interior upgrades	Interior	12/28/23	Q1 2026	$345,000	$220,590	In progress
Sewer line repair	Energy	01/12/26	Q4 2027	$809,000	$85,800	Approved
Unit interior upgrades	Site	01/13/24	Q1 2026	$647,000	$43,231	Bidding
Sewer line repair	Energy	06/22/26	Q3 2026	$786,000	$590,653	In progress
Sewer line repair	Life Safety	02/17/25	Q4 2026	$734,000	$618,712	In progress
Amenity renovation	Building	12/24/25	Q3 2026	$434,000	$255,422	Approved
Amenity renovation	Energy	06/30/26	Q3 2025	$846,000	$4,398	Deferred
HVAC replacement	Energy	12/27/23	Q1 2025	$226,000	$196,098	Complete
Security camera upgrade	Site	03/10/24	Q2 2026	$14,000	$9,913	Complete
Roof replacement - Bldg C	Interior	01/22/25	Q3 2027	$189,000	$89,204	Complete
LED lighting retrofit	Energy	02/18/24	Q3 2026	$864,000	$306,887	In progress
Sewer line repair	Energy	09/28/25	Q4 2025	$766,000	$754,192	Bidding
LED lighting retrofit	Site	12/28/23	Q3 2025	$385,000	$214,915	Approved
Sewer line repair	Interior	04/17/26	Q1 2025	$729,000	$480,784	Approved
Signage / monument	Interior	08/20/26	Q1 2025	$558,000	$460,511	Complete
Fence replacement	Building	04/16/26	Q4 2027	$591,000	$387,414	Bidding
Water heater replacement	Building	02/20/23	Q2 2025	$173,000	$127,259	Approved
Parking lot resurfacing	Site	01/04/26	Q1 2027	$705,000	$434,416	Deferred
Sewer line repair	Interior	09/03/26	Q2 2025	$569,000	$347,412	In progress
Signage / monument	Building	06/11/24	Q2 2027	$428,000	$119,375	Complete
Exterior paint	Site	05/02/25	Q3 2027	$900,000	$452,574	Complete
Pool resurfacing	Life Safety	01/06/25	Q3 2027	$192,000	$88,506	Approved

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Parking lot resurfacing	Life Safety	08/31/23	Q4 2026	$697,000	$216,455	Bidding
Fence replacement	Building	01/14/25	Q2 2026	$823,000	$527,741	In progress
Roof replacement - Bldg D	Life Safety	06/01/24	Q1 2027	$26,000	$4,520	Bidding
Landscape / irrigation	Building	06/25/26	Q4 2027	$757,000	$551,371	Approved
Fence replacement	Site	04/02/23	Q4 2025	$837,000	$686,055	Complete
LED lighting retrofit	Building	02/16/26	Q1 2026	$641,000	$198,408	Complete
Unit interior upgrades	Energy	05/27/23	Q3 2027	$882,000	$896,032	Complete
Amenity renovation	Interior	09/25/26	Q3 2027	$250,000	$106,351	Complete
Elevator modernization	Building	05/07/24	Q4 2027	$136,000	$140,425	Complete
Exterior paint	Building	08/22/23	Q4 2027	$85,000	$42,446	In progress
Exterior paint	Energy	06/27/25	Q3 2025	$21,000	$19,551	Approved
LED lighting retrofit	Energy	09/14/24	Q2 2026	$645,000	$396,344	In progress
Security camera upgrade	Building	01/02/26	Q4 2025	$197,000	$42,147	In progress
Fence replacement	Interior	12/27/26	Q2 2025	$880,000	$766,740	Complete
Water heater replacement	Building	04/22/24	Q1 2026	$685,000	$500,016	Complete
Security camera upgrade	Life Safety	06/11/23	Q3 2025	$94,000	$98,191	Complete
Exterior paint	Energy	09/08/25	Q4 2027	$191,000	$131,306	Approved
Door hardware	Energy	09/12/25	Q3 2025	$679,000	$436,475	Bidding
Storefront glazing	Energy	02/21/24	Q1 2026	$185,000	$101,066	Bidding
Pool resurfacing	Building	02/25/26	Q3 2026	$632,000	$182,435	Complete
Elevator modernization	Site	11/02/23	Q3 2027	$452,000	$85,955	Bidding
Security camera upgrade	Site	05/07/23	Q2 2026	$367,000	$163,018	Bidding
Exterior paint	Energy	11/20/26	Q4 2027	$637,000	$491,623	In progress
Lobby renovation	Building	07/15/23	Q2 2027	$750,000	$765,849	In progress
Fence replacement	Building	02/13/24	Q2 2026	$735,000	$764,788	In progress
HVAC replacement	Life Safety	07/20/25	Q1 2025	$746,000	$716,631	Deferred
Water heater replacement	Life Safety	01/14/25	Q4 2025	$364,000	$362,966	Approved
LED lighting retrofit	Energy	12/03/23	Q3 2025	$663,000	$166,257	Complete
Fence replacement	Building	03/11/24	Q3 2027	$102,000	$89,869	Deferred
Parking lot resurfacing	Energy	04/16/23	Q3 2025	$321,000	$46,473	Approved
Door hardware	Life Safety	01/11/23	Q1 2027	$773,000	$426,556	Complete
Door hardware	Life Safety	02/21/26	Q2 2025	$423,000	$111,386	Complete
Pool resurfacing	Interior	03/14/24	Q2 2027	$146,000	$108,074	Approved
Sewer line repair	Building	10/05/23	Q1 2027	$361,000	$336,609	Bidding
Parking lot resurfacing	Building	05/23/23	Q3 2027	$794,000	$762,214	In progress
Security camera upgrade	Site	01/06/26	Q1 2026	$828,000	$578,739	Bidding
Signage / monument	Building	04/06/25	Q3 2026	$263,000	$263,605	Bidding
LED lighting retrofit	Interior	09/20/25	Q1 2025	$122,000	$24,856	In progress
Pool resurfacing	Energy	07/27/26	Q2 2026	$222,000	$57,186	Deferred
Lobby renovation	Interior	11/21/23	Q4 2027	$390,000	$302,564	Deferred

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Observed Conditions

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $155,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 47 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 4 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 29 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 9 years ago and are operating without deficiency.

Business Plan Progress

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Distributions to investors for the quarter were paid at an annualized rate of 7.1% on contributed capital. The property is walkable to transit, with 46 structured parking spaces shared between uses. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The project combines ground-floor retail and restaurant space with upper-level residential and office components. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns.

Deferred Maintenance

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $480,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 39 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 34 months. Elevators were last modernized 4 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Investment Overview

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 5.8% on contributed capital. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Projected levered IRR is 11.9% with an equity multiple of 1.13x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Distributions to investors for the quarter were paid at an annualized rate of 3.9% on contributed capital. The property is walkable to transit, with 21 structured parking spaces shared between uses.

Deferred Maintenance

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $432,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 13 months.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 47 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $469,000. Elevators were last modernized 5 years ago and are operating without deficiency.

Investor Distributions

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
ADA compliance	Interior	03/14/23	Q4 2027	$740,000	$227,944	Bidding
Unit interior upgrades	Building	02/23/25	Q3 2025	$507,000	$341,021	In progress
Parking lot resurfacing	Site	02/01/24	Q1 2025	$745,000	$623,123	Deferred
Security camera upgrade	Life Safety	07/28/24	Q3 2027	$693,000	$572,890	Complete
Landscape / irrigation	Energy	09/01/24	Q1 2026	$311,000	$295,224	Bidding
Signage / monument	Life Safety	02/02/23	Q4 2026	$559,000	$89,941	In progress
Landscape / irrigation	Interior	07/14/25	Q1 2027	$98,000	$78,778	Approved
Sewer line repair	Life Safety	09/14/25	Q1 2026	$380,000	$174,673	Bidding
Exterior paint	Building	08/12/24	Q2 2026	$699,000	$567,935	In progress
Lobby renovation	Interior	02/28/24	Q1 2025	$548,000	$3,344	Deferred
Exterior paint	Site	03/02/24	Q1 2027	$295,000	$297,211	In progress
Parking lot resurfacing	Interior	03/16/25	Q2 2025	$881,000	$650,820	Approved
Parking lot resurfacing	Life Safety	08/08/25	Q2 2025	$443,000	$307,838	Approved
Parking lot resurfacing	Building	03/17/24	Q1 2025	$439,000	$385,577	In progress
Landscape / irrigation	Building	11/17/24	Q2 2026	$802,000	$240,028	Complete
Security camera upgrade	Building	07/11/26	Q2 2027	$677,000	$318,063	Bidding
Landscape / irrigation	Interior	06/17/25	Q4 2027	$870,000	$523,719	Deferred
Door hardware	Interior	10/07/23	Q2 2025	$496,000	$444,940	Deferred
Water heater replacement	Energy	02/20/26	Q1 2027	$883,000	$62,394	Deferred
HVAC replacement	Building	08/05/24	Q2 2025	$478,000	$416,001	Bidding
Storefront glazing	Energy	01/12/25	Q2 2026	$94,000	$95,022	Bidding
Roof replacement - Bldg B	Life Safety	04/17/24	Q4 2027	$372,000	$229,283	Bidding
Amenity renovation	Interior	03/17/25	Q2 2025	$446,000	$57,683	Complete
Exterior paint	Site	05/29/24	Q3 2025	$18,000	$12,606	In progress
Elevator modernization	Building	04/15/24	Q1 2025	$47,000	$48,378	Approved
Pool resurfacing	Site	01/10/23	Q2 2026	$16,000	$9,924	Deferred
Water heater replacement	Site	09/22/23	Q1 2026	$468,000	$171,291	Complete
Elevator modernization	Interior	08/26/26	Q3 2026	$437,000	$371,115	Bidding
Amenity renovation	Interior	10/21/25	Q4 2025	$271,000	$201,074	Complete
Pool resurfacing	Life Safety	03/20/24	Q3 2026	$366,000	$129,604	Bidding
Amenity renovation	Site	06/15/23	Q1 2026	$511,000	$323,546	Complete
Pool resurfacing	Site	11/18/23	Q1 2025	$694,000	$507,159	Approved
Water heater replacement	Building	11/15/25	Q2 2026	$884,000	$39,480	In progress
Parking lot resurfacing	Building	12/26/24	Q4 2027	$181,000	$31,814	In progress
Landscape / irrigation	Energy	12/19/23	Q2 2025	$240,000	$173,181	Deferred
ADA compliance	Life Safety	07/14/23	Q1 2027	$296,000	$55,461	Bidding
Elevator modernization	Building	03/02/24	Q3 2027	$104,000	$94,173	Approved
Amenity renovation	Energy	07/01/24	Q3 2026	$396,000	$16,431	Complete
Signage / monument	Building	09/25/24	Q3 2026	$439,000	$345,291	In progress
HVAC replacement	Interior	06/25/26	Q3 2026	$276,000	$219,986	Bidding
Elevator modernization	Building	02/22/24	Q3 2026	$202,000	$211,102	In progress
Fire alarm panel upgrade	Energy	05/20/24	Q4 2026	$289,000	$35,733	Deferred

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Deferred Maintenance

Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 12 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $433,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 16 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Business Plan Progress

Distributions to investors for the quarter were paid at an annualized rate of 7.6% on contributed capital. The property is walkable to transit, with 8 structured parking spaces shared between uses. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Projected levered IRR is 2.2% with an equity multiple of 1.32x over the hold period.

Recommendations

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $351,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 22 months.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $195,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 35 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Business Plan Progress

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 4.3% with an equity multiple of 1.22x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 4.3% with an equity multiple of 1.39x over the hold period. The property is walkable to transit, with 28 structured parking spaces shared between uses. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns.

Recommendations

Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 3 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 13 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $411,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 7 years ago and are operating without deficiency.

Investment Overview

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Exterior paint	Interior	11/04/24	Q3 2025	$512,000	$314,741	Deferred
Amenity renovation	Interior	06/21/24	Q2 2026	$594,000	$382,525	Complete
Roof replacement - Bldg A	Life Safety	01/01/24	Q3 2026	$44,000	$44,705	Complete
Water heater replacement	Energy	05/06/24	Q3 2027	$142,000	$22,795	Deferred
LED lighting retrofit	Life Safety	02/13/26	Q2 2027	$542,000	$546,805	Bidding
Storefront glazing	Site	10/01/25	Q4 2026	$12,000	$1,893	Deferred
Pool resurfacing	Energy	10/02/24	Q4 2025	$463,000	$66,929	Bidding
Lobby renovation	Site	12/06/25	Q2 2025	$521,000	$263,061	Bidding
Exterior paint	Life Safety	10/05/26	Q1 2027	$52,000	$27,188	Approved
Fire alarm panel upgrade	Interior	04/14/24	Q4 2026	$817,000	$242,564	In progress
Pool resurfacing	Energy	05/14/25	Q4 2026	$288,000	$7,354	Deferred
Sewer line repair	Energy	03/29/24	Q1 2027	$262,000	$183,749	In progress
Door hardware	Building	06/08/23	Q4 2027	$182,000	$38,338	Approved
Signage / monument	Interior	06/09/25	Q3 2027	$583,000	$413,004	Approved
Sewer line repair	Life Safety	03/19/23	Q4 2026	$394,000	$320,513	Deferred
Parking lot resurfacing	Life Safety	01/02/26	Q2 2026	$607,000	$103,024	In progress
Fence replacement	Energy	06/10/23	Q3 2026	$660,000	$297,757	Deferred
Parking lot resurfacing	Site	07/07/26	Q3 2025	$353,000	$4,536	Approved
Roof replacement - Bldg A	Energy	06/02/25	Q2 2026	$26,000	$23,456	Deferred
Fire alarm panel upgrade	Building	09/20/25	Q1 2025	$643,000	$338,322	Complete
Parking lot resurfacing	Life Safety	12/27/24	Q3 2027	$203,000	$169,219	In progress
Fire alarm panel upgrade	Site	04/01/25	Q1 2027	$372,000	$16,488	In progress
ADA compliance	Site	04/27/26	Q1 2026	$359,000	$275,487	Deferred
Lobby renovation	Life Safety	08/24/25	Q4 2026	$127,000	$17,982	Approved
Elevator modernization	Building	07/12/23	Q2 2027	$152,000	$64,127	In progress
Unit interior upgrades	Life Safety	07/19/24	Q4 2025	$100,000	$92,456	In progress
Pool resurfacing	Interior	04/27/24	Q2 2025	$446,000	$338,735	Deferred
Security camera upgrade	Building	04/07/25	Q1 2026	$439,000	$416,129	Approved
Roof replacement - Bldg A	Life Safety	08/27/23	Q3 2027	$834,000	$117,619	Complete
Lobby renovation	Building	06/07/24	Q4 2026	$896,000	$276,445	Bidding
Sewer line repair	Site	03/27/25	Q1 2025	$101,000	$79,409	Complete
HVAC replacement	Energy	07/01/25	Q4 2026	$345,000	$34,220	Deferred
Roof replacement - Bldg B	Energy	02/15/24	Q1 2027	$272,000	$45,155	Deferred
Roof replacement - Bldg A	Interior	05/22/24	Q2 2026	$660,000	$302,688	In progress
LED lighting retrofit	Building	06/05/23	Q4 2025	$730,000	$193,772	In progress
Elevator modernization	Building	11/25/24	Q4 2025	$771,000	$783,288	Approved
Unit interior upgrades	Energy	12/14/26	Q1 2027	$652,000	$494,808	Deferred
Storefront glazing	Building	08/25/24	Q2 2025	$323,000	$250,736	Deferred
LED lighting retrofit	Life Safety	01/15/24	Q3 2025	$281,000	$268,534	Bidding
Parking lot resurfacing	Site	09/04/26	Q1 2027	$314,000	$183,471	Deferred
Security camera upgrade	Site	09/16/26	Q4 2025	$653,000	$382,915	In progress
Landscape / irrigation	Site	05/15/26	Q2 2026	$264,000	$208,333	Complete

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Observed Conditions

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $100,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 25 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 7 years ago and are operating without deficiency.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $39,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 8 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Investment Overview

The property is walkable to transit, with 5 structured parking spaces shared between uses. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Distributions to investors for the quarter were paid at an annualized rate of 6.3% on contributed capital. Projected levered IRR is 7.8% with an equity multiple of 1.27x over the hold period.

Projected levered IRR is 3.4% with an equity multiple of 1.20x over the hold period. The property is walkable to transit, with 44 structured parking spaces shared between uses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns.

Deferred Maintenance

Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $210,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 13 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 43 months. Elevators were last modernized 4 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Business Plan Progress

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 7.3% on contributed capital. The property is walkable to transit, with 29 structured parking spaces shared between uses. Projected levered IRR is 9.4% with an equity multiple of 1.35x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

The project combines ground-floor retail and restaurant space with upper-level residential and office components. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Distributions to investors for the quarter were paid at an annualized rate of 3.1% on contributed capital.

Deferred Maintenance

Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $43,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
LED lighting retrofit	Interior	01/26/24	Q1 2027	$466,000	$449,716	Complete
Elevator modernization	Site	04/01/23	Q3 2027	$491,000	$255,096	Approved
Amenity renovation	Building	02/13/25	Q4 2025	$665,000	$503,513	Approved
Landscape / irrigation	Energy	01/04/25	Q4 2027	$496,000	$414,567	In progress
Parking lot resurfacing	Building	08/24/26	Q2 2026	$219,000	$17,102	Bidding
Exterior paint	Life Safety	12/13/26	Q4 2026	$613,000	$174,559	In progress
Roof replacement - Bldg B	Interior	01/15/26	Q2 2027	$378,000	$9,261	Approved
Roof replacement - Bldg A	Interior	02/20/24	Q4 2026	$614,000	$61,742	In progress
Elevator modernization	Site	10/04/23	Q4 2025	$821,000	$381,378	Complete
Pool resurfacing	Interior	02/13/26	Q4 2025	$832,000	$347,802	In progress
LED lighting retrofit	Energy	02/06/25	Q3 2026	$212,000	$140,052	In progress
Unit interior upgrades	Energy	02/18/26	Q3 2025	$692,000	$675,498	Bidding
Fire alarm panel upgrade	Building	02/23/24	Q4 2026	$577,000	$130,680	Deferred
Exterior paint	Site	06/10/23	Q1 2027	$190,000	$199,319	Approved
Fence replacement	Life Safety	04/07/24	Q3 2025	$452,000	$303,136	Complete
Security camera upgrade	Site	10/20/25	Q4 2027	$130,000	$120,858	Deferred
Lobby renovation	Building	06/29/23	Q4 2026	$700,000	$403,323	Deferred
HVAC replacement	Energy	09/27/26	Q1 2027	$634,000	$219,853	Approved
Fire alarm panel upgrade	Site	04/09/25	Q3 2025	$488,000	$231,348	Deferred
Lobby renovation	Energy	09/21/25	Q1 2027	$764,000	$554,603	In progress
Unit interior upgrades	Life Safety	09/01/23	Q3 2027	$174,000	$144,538	Complete
Fire alarm panel upgrade	Building	04/25/23	Q1 2025	$844,000	$347,597	Deferred
Lobby renovation	Interior	11/11/26	Q4 2027	$216,000	$41,970	Complete
Sewer line repair	Energy	11/23/23	Q1 2027	$589,000	$526,677	Bidding
Storefront glazing	Energy	10/30/26	Q4 2026	$201,000	$155,502	Bidding
Exterior paint	Life Safety	08/06/25	Q3 2027	$790,000	$14,853	Complete
Elevator modernization	Life Safety	11/02/24	Q1 2026	$252,000	$31,565	Complete
ADA compliance	Life Safety	09/20/26	Q4 2027	$640,000	$261,307	Deferred
Unit interior upgrades	Energy	08/09/26	Q1 2027	$823,000	$65,097	Bidding
Storefront glazing	Energy	08/30/26	Q4 2027	$646,000	$643,667	Approved
Fence replacement	Energy	10/01/26	Q3 2025	$329,000	$134,478	Approved
Signage / monument	Energy	06/27/24	Q1 2025	$10,000	$10,262	Approved
Fire alarm panel upgrade	Site	10/28/26	Q4 2025	$322,000	$152,086	In progress
HVAC replacement	Life Safety	05/01/24	Q4 2026	$503,000	$92,689	Bidding
Landscape / irrigation	Life Safety	08/14/26	Q4 2027	$359,000	$341,299	In progress
Fence replacement	Interior	07/14/24	Q3 2025	$739,000	$140,287	Complete
Pool resurfacing	Life Safety	08/27/23	Q3 2026	$189,000	$59,563	Bidding
Lobby renovation	Interior	12/26/26	Q2 2025	$533,000	$219,047	Deferred
LED lighting retrofit	Building	04/19/23	Q3 2025	$83,000	$43,849	Bidding
Exterior paint	Energy	03/11/25	Q3 2025	$759,000	$362,309	Bidding
Water heater replacement	Energy	01/13/25	Q2 2026	$313,000	$56,687	Approved
LED lighting retrofit	Life Safety	07/07/26	Q3 2025	$453,000	$460,005	Deferred
Door hardware	Energy	01/11/24	Q4 2027	$701,000	$524,218	Approved

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Observed Conditions

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 36 months. Elevators were last modernized 5 years ago and are operating without deficiency. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $89,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 5 years ago and are operating without deficiency.

Investment Overview

The property is walkable to transit, with 43 structured parking spaces shared between uses. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Distributions to investors for the quarter were paid at an annualized rate of 7.2% on contributed capital.

Projected levered IRR is 2.5% with an equity multiple of 1.5x over the hold period. The project combines ground-floor retail and restaurant space with upper-level residential and office components. The property is walkable to transit, with 39 structured parking spaces shared between uses. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns.

Deferred Maintenance

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 22 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $206,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 10 years ago and are operating without deficiency.

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $449,000. Elevators were last modernized 5 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 6 months.

Investment Overview

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. The property is walkable to transit, with 6 structured parking spaces shared between uses. Projected levered IRR is 5.8% with an equity multiple of 1.7x over the hold period.

The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 8.5% with an equity multiple of 1.18x over the hold period. The project combines ground-floor retail and restaurant space with upper-level residential and office components. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Deferred Maintenance

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $138,000. Elevators were last modernized 8 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 31 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Landscape / irrigation	Interior	08/01/23	Q4 2026	$291,000	$230,714	In progress
Sewer line repair	Energy	01/22/26	Q2 2027	$546,000	$428,832	Complete
Fence replacement	Site	11/29/26	Q3 2025	$117,000	$90,224	In progress
Sewer line repair	Site	06/11/24	Q4 2027	$101,000	$37,598	In progress
Pool resurfacing	Interior	11/03/24	Q4 2027	$58,000	$59,509	Approved
Fence replacement	Interior	02/25/23	Q4 2025	$492,000	$474,028	In progress
Fire alarm panel upgrade	Energy	07/19/25	Q3 2025	$655,000	$640,062	Bidding
LED lighting retrofit	Building	04/11/26	Q4 2026	$853,000	$424,812	Complete
Security camera upgrade	Life Safety	09/15/26	Q3 2025	$761,000	$246,420	In progress
Roof replacement - Bldg A	Interior	05/10/23	Q4 2026	$415,000	$63,145	Complete
Water heater replacement	Site	08/23/25	Q4 2027	$491,000	$357,908	In progress
Lobby renovation	Life Safety	08/05/24	Q3 2027	$149,000	$73,418	Complete
Water heater replacement	Energy	06/13/26	Q4 2027	$879,000	$396,597	Deferred
Lobby renovation	Building	12/06/25	Q1 2025	$242,000	$135,380	Complete
Amenity renovation	Interior	07/07/25	Q3 2025	$455,000	$257,702	Approved
Sewer line repair	Interior	01/18/25	Q2 2025	$854,000	$438,748	Deferred
Exterior paint	Energy	04/25/25	Q1 2027	$74,000	$44,763	Deferred
Fire alarm panel upgrade	Site	01/23/25	Q4 2027	$508,000	$464,672	Bidding
LED lighting retrofit	Energy	10/15/23	Q1 2025	$794,000	$128,939	Bidding
Sewer line repair	Life Safety	08/17/25	Q2 2026	$350,000	$347,170	Approved
LED lighting retrofit	Energy	09/23/26	Q2 2026	$726,000	$65,779	Complete
Exterior paint	Interior	03/17/23	Q2 2025	$800,000	$237,127	Complete
Door hardware	Interior	05/09/26	Q2 2027	$447,000	$78,166	Bidding
HVAC replacement	Life Safety	06/14/24	Q2 2026	$511,000	$97,820	In progress
Pool resurfacing	Building	08/15/26	Q2 2027	$648,000	$602,547	Approved
Door hardware	Life Safety	10/22/23	Q1 2026	$17,000	$6,468	In progress
LED lighting retrofit	Interior	07/14/24	Q3 2025	$489,000	$277,749	In progress
Signage / monument	Energy	07/03/26	Q2 2025	$767,000	$499,358	Complete
Pool resurfacing	Building	07/07/23	Q4 2026	$386,000	$167,417	Approved
Unit interior upgrades	Site	02/10/25	Q4 2025	$35,000	$26,902	Approved
Fence replacement	Building	02/05/24	Q4 2026	$795,000	$761,241	Approved
Pool resurfacing	Building	09/03/24	Q4 2025	$489,000	$224,737	Deferred
Roof replacement - Bldg A	Life Safety	11/18/25	Q2 2026	$376,000	$219,552	In progress
Roof replacement - Bldg C	Site	02/01/23	Q4 2026	$352,000	$340,759	Deferred
Security camera upgrade	Building	03/30/23	Q1 2025	$214,000	$62,164	Deferred
Exterior paint	Building	10/27/26	Q1 2027	$788,000	$560,244	Approved
Roof replacement - Bldg D	Interior	03/22/24	Q3 2026	$657,000	$36,013	Approved
LED lighting retrofit	Site	09/14/25	Q3 2025	$767,000	$597,017	Complete
Roof replacement - Bldg C	Life Safety	04/16/25	Q4 2027	$439,000	$83,453	Deferred
LED lighting retrofit	Site	09/05/26	Q1 2027	$66,000	$11,861	Approved
Door hardware	Building	04/09/24	Q3 2025	$482,000	$23,540	Bidding
Elevator modernization	Energy	06/16/26	Q3 2025	$18,000	$3,811	In progress

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Observed Conditions

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 25 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 9 years ago and are operating without deficiency.

Elevators were last modernized 7 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Risk Considerations

Percentage rent and CAM reimbursements are tracked separately for the commercial component. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 7.3% on contributed capital. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Projected levered IRR is 8.6% with an equity multiple of 1.33x over the hold period. The property is walkable to transit, with 19 structured parking spaces shared between uses.

The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Distributions to investors for the quarter were paid at an annualized rate of 4.1% on contributed capital.

Recommendations

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 3 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 18 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $63,000.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 18 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 5 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $35,000.

Investor Distributions

The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 5.9% on contributed capital. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Projected levered IRR is 9.1% with an equity multiple of 1.2x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 6.7% on contributed capital. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Observed Conditions

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Parking lot resurfacing	Life Safety	11/18/26	Q3 2025	$589,000	$335,895	In progress
Roof replacement - Bldg D	Interior	12/21/23	Q4 2026	$799,000	$714,426	Approved
Sewer line repair	Interior	07/14/26	Q2 2025	$336,000	$16,615	In progress
Elevator modernization	Site	02/20/23	Q3 2027	$13,000	$7,714	Approved
Pool resurfacing	Site	02/03/26	Q2 2026	$672,000	$2,100	In progress
Door hardware	Interior	10/26/26	Q4 2026	$52,000	$53,897	Bidding
Elevator modernization	Building	11/23/23	Q1 2027	$62,000	$45,480	Approved
Unit interior upgrades	Energy	06/17/23	Q4 2025	$569,000	$498,083	Approved
Exterior paint	Energy	12/02/23	Q2 2025	$536,000	$1,915	Complete
Fence replacement	Energy	12/09/25	Q4 2027	$280,000	$240,269	Bidding
ADA compliance	Energy	08/07/25	Q4 2026	$821,000	$422,040	Deferred
Elevator modernization	Interior	07/11/25	Q2 2026	$456,000	$7,391	Bidding
Signage / monument	Site	06/16/25	Q1 2027	$728,000	$5,512	Deferred
LED lighting retrofit	Building	06/06/26	Q3 2026	$261,000	$217,985	Deferred
LED lighting retrofit	Life Safety	04/11/25	Q3 2027	$314,000	$285,082	Approved
Storefront glazing	Interior	02/11/26	Q3 2025	$813,000	$835,271	Bidding
Elevator modernization	Building	01/18/26	Q1 2026	$337,000	$47,114	Complete
Amenity renovation	Site	04/13/26	Q1 2027	$899,000	$683,122	Approved
Signage / monument	Life Safety	01/18/24	Q4 2027	$588,000	$495,303	Complete
Water heater replacement	Interior	09/26/23	Q3 2027	$175,000	$44,829	Complete
Exterior paint	Site	12/13/23	Q3 2027	$776,000	$69,570	Deferred
Water heater replacement	Building	12/21/26	Q4 2025	$306,000	$155,135	Complete
Signage / monument	Life Safety	11/06/23	Q4 2025	$571,000	$589,713	Approved
LED lighting retrofit	Life Safety	03/28/25	Q3 2026	$630,000	$383,521	Deferred
Exterior paint	Site	08/25/25	Q1 2025	$652,000	$81,650	Deferred
HVAC replacement	Energy	03/21/24	Q1 2025	$649,000	$563,027	Complete
Unit interior upgrades	Energy	12/20/25	Q4 2027	$286,000	$76,248	Deferred
Signage / monument	Building	10/09/26	Q1 2027	$320,000	$253,456	Bidding
Landscape / irrigation	Life Safety	02/06/26	Q4 2025	$420,000	$95,898	Deferred
Fire alarm panel upgrade	Life Safety	05/29/23	Q2 2027	$807,000	$83,624	Bidding
Landscape / irrigation	Site	10/31/23	Q2 2026	$745,000	$622,991	Approved
Sewer line repair	Interior	02/08/26	Q1 2025	$580,000	$373,186	Bidding
Unit interior upgrades	Life Safety	12/18/26	Q4 2027	$843,000	$373,166	Approved
Unit interior upgrades	Interior	10/28/24	Q4 2026	$506,000	$168,594	Approved
Lobby renovation	Energy	02/19/24	Q4 2026	$97,000	$7,199	Bidding
Signage / monument	Energy	05/27/23	Q2 2027	$585,000	$404,759	In progress
Amenity renovation	Site	11/04/23	Q3 2025	$574,000	$283,457	Deferred
Water heater replacement	Interior	12/19/25	Q3 2026	$876,000	$376,358	Bidding
Pool resurfacing	Energy	02/20/24	Q4 2026	$145,000	$92,421	Complete
Door hardware	Interior	10/20/23	Q4 2026	$306,000	$217,925	Approved
Security camera upgrade	Life Safety	07/29/26	Q3 2026	$290,000	$92,961	In progress

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Recommendations

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 8 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $373,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 2 months. Elevators were last modernized 5 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $76,000.

Business Plan Progress

The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. Projected levered IRR is 10.7% with an equity multiple of 1.7x over the hold period. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Deferred Maintenance

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 19 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 10 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 17 months. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Investment Overview

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Distributions to investors for the quarter were paid at an annualized rate of 4.5% on contributed capital. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Recommendations

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $312,000. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 44 months. Elevators were last modernized 8 years ago and are operating without deficiency.

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 26 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $224,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage.

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Summary and Notes

Income and Expense Review

The going-in capitalization rate of 5.70% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $403,000, representing a 9.0% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Operating expenses totaled $40,000 or approximately 22.25 per square foot, with real estate taxes representing the largest line item.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The property is walkable to transit, with 46 structured parking spaces shared between uses. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Effective gross income for the trailing period was $453,000, representing a 2.3% increase over the prior year. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Leasing and Marketing

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The manager completes a monthly walk of the property and submits a variance report to the owner by the 17th business day. Service requests are tracked through a work-order system with an average completion time of 8 hours.

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The property is walkable to transit, with 39 structured parking spaces shared between uses.

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